



sector subscriber numbers have failed to match those expectations, despite its low-cost model. Now, even in the public sector, there have been increasing calls to shift back to the old pension scheme (OPS) and its defined benefits, a demand that has found its way into election of manifestos in state after state.

The biggest reason for the low popularity of NPS is the presence of more lucrative market-linked options. On this front, its main challenger, perhaps, is the mutual fund (MF). Consider this: The total number of MF accounts stood at 151.4 million as on July 31, while NPS subscriptions stood at just 16.8 million as of August 5. Besides, the Indian MF industry's assets under management (AUM) stood at ₹46.28 lakh crore, compared with

the NPS AUM of ₹9.65 lakh crore. And this is despite studies indicating that the equity returns offered by the NPS is almost equal to those provided by equity MFs.

Critically, the Atal Pension Yojana (APY) introduced in 2015, garnered 46 million subscribers thanks to its assurance of returns exceeding 9 per cent. However, it was discontinued for taxpayers from October 1, 2022.

WHY THIS LAG?

On the surface, it is not readily apparent why the NPS has suffered. The scheme does offer a slew of benefits. It has very low costs for investors compared with other investment vehicles, and it provides tax benefits that private options do not.